PROJECT TETON

AI & Technology Moat — Signal vs. Sell-Side

TO	**Benefit Street Partners — Investment Committee**
FROM	**K. Slowinski — Independent AI & Technology Advisor**
RE	**TCN (Project Teton): does the AI constitute a real moat?**
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BOTTOM LINE UP FRONT

TCN is a **solid calling platform with no AI moat** — and it is **behind** on AI. The "AI + compliance moat" the CIP and Palo Alto VDD sell is largely slides: agentic AI had **0 customers and $0 revenue at end-2025** (first customer April 2026). Fund the franchise; price the AI as an option, not a fact.

WHAT'S REAL — FUND THIS

- **~$60M ARR, ~37% 2026E growth, ~20–24% EBITDA** — a bootstrapped Rule-of-60. Genuinely attractive.
- Sticky: ~98% logo retention and deep outbound-dialer switching costs.
- **Consumption pricing** (not per-seat) — well-positioned to monetize AI usage *without* cannibalizing itself. The single best part of the story.

WHAT'S HYPE — DON'T PAY FOR IT

- **"AI moat" = slides, not traction.** Agentic AI had **0 customers / $0** at end-2025 (first customer April 2026; ~$1M *planned* for 2026E). One in-production proprietary model (SmartAMD, an answering-machine detector); the generative AI is rented (GPT / Gemini / Whisper).
- **Behind, and the disruptors are built differently.** AI-native players (Decagon, Sierra, Skit.ai) are agent-first on different economics; TCN is a fast-follower bolting AI onto a dialer.
- **"Compliance moat."** Compliance *marketing* is table stakes — LiveVox, Five9, Convoso and AI-native Skit.ai all sell it; buyable à la carte (DNC.com, Gryphon). Compliance *depth* (court-tested audit records) is a modest vertical/legal edge — not an AI one, and eroding as AI-natives go compliance-native.
- The Palo Alto VDD grades **nearly every finding maximum-positive** — a second marketing deck, not independent diligence.
- **The AI won't deploy itself.** Agentic collections needs forward-deployed engineering — the Sierra/Decagon norm is $50–200K and 8–16 weeks to a live agent. TCN's mid-market buyers can't self-configure it and TCN runs lean on services, so AI-agent revenue is **services-gated**, not the self-serve SaaS the plan implies.

THE RISK NOBODY PRICED

Consumption pricing means volume shifting to AI is partly **monetized, not lost** — as long as calls still traverse TCN's dialer. The real risk is **dial-path retention**: the AI-natives can **become the dial path** themselves. This is not hypothetical — Skit.ai already offers **its own telephony** and runs end-to-end automated collections calls today. If a customer points an AI-native at its own numbers, TCN is disintermediated into commodity pipes. Neither document stress-tests this — the gating technical-diligence question.

RECOMMENDATION

- Underwrite the ~$60M franchise on **switching costs + consumption pricing + last-independent-in-a-niche** (post-LiveVox/NICE). Treat AI as optionality, not thesis.
- **Do not pay an AI premium.** One question gates the tech DD: *does TCN stay in the call path as AI agents replace human seats?*

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